

Leadership, Organisational Culture, and Employee Motivation:

A Critical Analysis of the Uber Case Study

The Uber Case Study provides a powerful example of how organizational culture and leadership conduct can significantly affect employees' working experiences. When Susan Fowler, a site reliability engineer, alleged sexual harassment by her manager on her very first day, HR's response was to shield a high-performing employee at her expense rather than investigate and take proper action. This single incident reveals a deeper problem in how Uber was managed. The company consistently prioritized performance over people, and those at the top set the tone for what behaviour was considered acceptable. The argument that organizational culture and leadership are crucial to employee motivation and retention is critically assessed in this essay. It examines how Uber's workplace negatively impacted employee wellbeing and significantly increased staff turnover, especially among women. To do this it draws on key academic theories including Schein's (1985) cultural framework, Maslow's (1943) hierarchy of needs, Vroom's (1964) expectancy theory, Adams (1965) equity theory, and transformational and toxic leadership models. The essay concludes with practical recommendations for the Senior Executive Team on how to build a more ethical and healthier workplace.

Leadership is commonly understood as the process of influencing others to support common organisational aims (Northouse, 2018). Good leaders build environments where people feel genuinely valued, support their teams, and model ethical behavior. However, Uber's leaders appear to have shown deeply destructive tendencies. Padilla, Hogan, and Kaiser (2007) discuss this through the concept of toxic leadership, in which organizational or personal goals are continuously placed above the well-being and dignity of employees, a framework that closely reflects the behavior shown throughout the case study. Kalanick's behaviour provides a clear example of this, as he actively cultivated a culture of excess rather than setting a professional tone. His now-infamous Miami letter, sent to hundreds of employees before a company trip, had informal guidance on drug use and sexual encounters. Bass and Avolio (1994) argue that transformational leaders shape organisational culture through their own visible behavior; when the person at the top normalises wrongdoing, it sends a clear message throughout the

organisation that such behavior is acceptable. By this standard, Kalanick's conduct actively undermined any possibility of a respectful workplace culture.

At the team level, Vlad Ziegler's conduct provides another example of abusive leadership. On Fowler's very first day, he propositioned her sexually. When she reported this to HR, Christine Suarez acknowledged the harassment but recommended that Ziegler was too valuable to discipline and warned that filing a complaint could lead to a poor performance review. Kellerman (2004) argues that callous leadership occurs when those in authority are genuinely indifferent to the harm caused to those below them, rather than necessarily being calculating and, this is precisely what Suarez's response reflects. Later, Fowler's manager Amar Gupta explicitly threatened her with dismissal for raising concerns through legitimate channels, showing a more deliberate form of self-serving leadership. It is reasonable to acknowledge, however, that leadership theory does not offer a single perspective. Burns (1978) makes a distinction between transactional leaders, who manage through reward and punishment, and transformational leaders, who inspire through genuine care for their followers. It is important to consider that deeply distorted form of transactional leadership was present at Uber, where high individual performance was rewarded regardless of conduct, while any challenge to the prevailing culture was penalised. This imbalance means that the wrong behaviours were consistently reinforced. Having considered how leadership operated at Uber, it is now important to turn to how this shaped the organization's broader culture.

Schein (1985) defines organisational culture as shared values, assumptions and beliefs that influence how individuals behave within an organisation. Schein proposes a three-level model: artefacts, which are visible symbols and behaviours; espoused values, which are officially declared ideas and policies, and basic underlying assumptions, which are the deeper, often unspoken beliefs that guide behavior. When this framework is applied to Uber, a notable and troubling gap between the company's public statements and its actual practices becomes clear. In practice, Uber's fourteen cultural values, including slogans such as "Always be hustling" (Uber case study) represented nothing more than espoused values. The artefacts told a very different story: drug use occurred at company events, the CEO made demeaning public comments about women, and incidents of harassment and discrimination were routine. Schein (1985) warns that a culture becomes toxic when there is a gap between what an organisation claims to believe and how it behaves, and that employees rapidly lose trust when they experience this contradiction firsthand. At Uber, that gap was not subtle; it was fundamental.

This highlights a deeper assumption that commercial success justified almost any behavior. Fowler was told by HR that working at Uber was like getting a seat on a rocket ship, implying she should tolerate mistreatment for the sake of the opportunity. Johnson, Scholes and Whittington (2008) argue that organisations sustain their culture by what they reward, permit and punish. At Uber, inappropriate behavior by strong performers was permitted, while raising concerns was actively punished. By the time Fowler left, the proportion of female engineers had dropped from around 25% to just 3%, a concrete and measurable consequence of this cultural environment. It is worth noting, however, that culture is not a fixed or uniform force. Whilst Schein's model is widely used, critics such as Martin (2002) argue that it risks oversimplifying organisations by treating culture as single, coherent whole, when in reality multiple sub-cultures may coexist and compete. At Uber, it is possible that some teams operated more ethically than others, yet the dominant culture clearly set the tone. Acker (2006) argues that organisational culture has the power to both reflect and actively reinforce broader social inequalities, and Uber's dramatic gender imbalance demonstrates exactly that. With the cultural context established, it is now important to consider the impact this had on employee motivation.

Uber's leadership failures and toxic culture directly weakened employee motivation. This is clearly evident when Uber did not meet even the most basic conditions necessary for employees to feel motivated. Maslow (1943) proposes a hierarchy of needs, suggesting that individuals cannot be driven by higher-order goals such as achievement or career growth until lower-order needs like safety and belonging are first satisfied. At Uber, these foundational needs were consistently unmet. Fowler was repeatedly misled by HR, subjected to harassment, and received direct threats about her career progression. In such conditions, it is very difficult for any employee to feel secure enough to be genuinely engaged in their work. Further insight is provided by Vroom's (1964) expectancy theory, which argues that employees are motivated when they believe their effort will lead to strong performance, that will be rewarded, and that those rewards are genuinely meaningful. In this case, this chain was clearly broken at every stage at Uber. Fowler worked hard, produced excellent results, and even began writing a book while employed there, yet her performance ratings were later altered retroactively to prevent her from transferring teams. When there is no reliable link between effort and fair outcomes, motivation naturally declines. However, expectancy theory has limitations. Wahba and Bridwell (1976) note that motivation theories can oversimplify human behavior, as employees are also influenced by emotions, values and experiences of fairness. It is also worth noting that not all employees responded to these conditions in the same way. Some individuals particularly

those who received help from the existing power structures remained motivated precisely because the culture rewarded their behavior. This highlights a limitation of need-based theories, which tend to assume that not all employees experience the workplace in the same way. Nevertheless, for marginalised groups such as women at Uber, the motivational damage was real and measurable. This declining motivation directly connects to the question of employee retention, which is considered next.

The consequences for staff retention were significant. Uber's environment made it extremely difficult for employees to remain. Griffeth, Hom and Gaertner (2000) demonstrate through their research that when workers feel respected, treated fairly, and supported, they are far more likely to stay. However, none of these conditions existed reliably at Uber, especially for women and other members of non- dominant social groups. The sharp decline in female engineers from 25% to just 3% during Fowler's tenure is one of the clearest measurable indicators of how hostile the environment had become. Adams' (1965) equity theory provides a explanation. The theory proposes that employees evaluate how they are being treated relative to others, and when they perceive significant injustice, their commitment to the organisation weakens. At Uber, the inequity was clear: managers who harassed colleagues faced no consequences, while employees who reported them were threatened and had their performance records manipulated. When Fowler discovered that at least four other women had also reported Ziegler's harassment to HR, only to be told no such complaints existed, it became evident that the organisation was not simply failing to address these issues; it was actively concealing them. At that point, trust in the institution becomes impossible to maintain. Edmondson's (1999) concept of psychological safety is also relevant here. When employees believe they can speak up and raise concerns without fear of punishment, they are more likely to remain engaged and committed. Uber's leadership environment did the opposite: it demonstrated clearly that speaking up was dangerous. Whilst Edmondson's framework was developed primarily in the context of team learning, its application to retention is well supported once employees no longer feel safe, their intention to leave increases significantly. This understanding of what went wrong at Uber leads directly to the question of what should be done differently.

On the basis of this analysis, two key recommendations can be offered to Uber's Senior Executive Team. First, the organisation must undertake a genuine transformation of its leadership culture, beginning at the very top. Without visible change in the behaviour of senior leaders, any policy reform will be seen as cosmetic. Bass and Avolio (1994) argue that transformational leadership characterised by integrity, genuine concern for followers, and

leading by example is far more effective at sustaining healthy organisational cultures than transactional approaches based on reward and punishment alone. In practical terms, this would require mandatory ethics and leadership development programmes for all managers, a full restructuring of HR complaint processes to ensure they operate independently and transparently, and clear consequences for leaders who breach ethical standards, regardless of their performance level.

Second, Uber needs to close the gap between its espoused values and its actual cultural practices, following Schein's (1985) three-level framework. This means moving away from slogans that, in practice, gave license for aggressive and dismissive conduct, towards values genuinely centred on inclusion, accountability and psychological safety. Johnson, Scholes and Whittington (2008) argue that cultural change requires organisations to consciously alter what they reward, permit and punish and at Uber, this means making it safe for employees to speak up, rather than punishing them for doing so. Concretely, this could involve introducing regular anonymous employee surveys to surface problems early, setting up measurable diversity and inclusion targets with board-level accountability, and creating an independent ethics reporting mechanism that employees can genuinely trust over time.

In conclusion, the Uber case study demonstrates with uncomfortable clarity that leadership and culture are not secondary concerns; they sit at the heart of whether employees feel motivated, engaged, and willing to stay. When leaders prioritise growth over people, and when organisational culture rewards misconduct rather than addressing it, the human and commercial costs are both real and measurable. The theories discussed throughout this essay from Maslow and Vroom to Schein and Adams all point to the same conclusion: organisations that fail to meet their employees' basic needs for safety, fairness and respect will struggle to keep them. Rebuilding trust at Uber will not happen through slogans alone. It requires leaders at every level to model ethical behaviour, enforce accountability, and create a culture where employees feel safe, respected and valued. This also requires consistency between what leaders say, what the organisation rewards, and how employees are treated in everyday practice.

References

- Acker, J. (2006) 'Inequality regimes: Gender, class, and race in organizations', *Gender & Society*, 20(4), pp. 441–464.
- Adams, J.S. (1965) 'Inequity in social exchange', in Berkowitz, L. (ed.) *Advances in Experimental Social Psychology*. New York: Academic Press, pp. 267–299.
- Bass, B.M. and Avolio, B.J. (1994) *Improving organizational effectiveness through transformational leadership*. Thousand Oaks, CA: Sage.
- Burns, J.M. (1978) *Leadership*. New York: Harper & Row.
- Edmondson, A. (1999) 'Psychological safety and learning behavior in work teams', *Administrative Science Quarterly*, 44(2), pp. 350–383.
- Griffeth, R.W., Hom, P.W. and Gaertner, S. (2000) 'A meta-analysis of antecedents and correlates of employee turnover', *Journal of Management*, 26(3), pp. 463–488.
- Johnson, G., Scholes, K. and Whittington, R. (2008) *Exploring corporate strategy*. 8th edn. Harlow: FT Prentice Hall.
- Kellerman, B. (2004) *Bad leadership: What it is, how it happens, why it matters*. Boston: Harvard Business School Press.
- Martin, J. (2002) *Organizational culture: Mapping the terrain*. Thousand Oaks, CA: Sage.
- Maslow, A.H. (1943) 'A theory of human motivation', *Psychological Review*, 50(4), pp. 370–396.
- Northouse, P.G. (2018) *Leadership: Theory and practice*. 8th edn. Thousand Oaks, CA: Sage.
- Padilla, A., Hogan, R. and Kaiser, R.B. (2007) 'The toxic triangle: Destructive leaders, susceptible followers, and conducive environments', *The Leadership Quarterly*, 18(3), pp. 176–194.
- Schein, E.H. (1985) *Organizational culture and leadership*. San Francisco: Jossey-Bass.
- Vroom, V.H. (1964) *Work and motivation*. New York: Wiley.